

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-09

**Impact Products, LLC and Safety Zone, LLC
v.
COSCO Shipping Lines Co., Ltd.**

RESPONDENT’S RESPONSE TO MOTION TO AMEND THE COMPLAINT

Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO”) hereby responds to the September 27, 2024 Motion of Complainants Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”) (collectively “Complainants”) to Amend the First Amended Complaint (“Motion to Amend”). For the reasons set forth below, the Motion to Amend should be denied.

BACKGROUND

This is Complainants’ second amendment to its original verified Complaint in this proceeding. The original verified Complaint was served on February 14, 2024. Rather than dismissing the Complaint (as had timely been moved by Respondent in a Motion to Dismiss filed on March 11, 2024), the Presiding Officer issued an order on May 6, 2024 directing Complainants to file an amended complaint before May 21, 2024 that should

“include any further details regarding the shipments and charges at issue that Complainants wish to add to state their case more fully and must set forth with specificity who paid whom for the disputed charges and when they were paid. In the event Complainants obtain the anticipated assignment from Laufer, this assignment must also be included in the amended complaint.” Order of May 6, 2024 (Slip op. at 2).

Complainants filed their First Amended Verified Complaint on May 17, 2024, indicating that it had obtained an assignment of claims from the direct purchaser of the transportation services at issue (assignor Laufer Group International)(“Laufer”).

Complainants now request a second opportunity to amend their Complaint, this time reflecting that Complainants have become bankrupt and have sold themselves to a third party. They ask that the new assignee of the claims be substituted for the original assignee, and also propose to make a slew of miscellaneous changes, including many that have nothing to do with the bankruptcy and sale.

ARGUMENT

A. The Motion to Amend Should be Denied

a. Legal Standard

The Motion to Amend raises both a policy issue and a matter of the Presiding Officer’s discretion. The policy issue, which may need to be left up to the Commission, is whether the FMC wants to commoditize Shipping Act claims so that they may be assigned and re-assigned and re-assigned again at the pleasure of multiple holders, without any regard to the original context of the two parties who engaged in a maritime transaction relating to the provision of transportation services.¹

The second matter is how the Presiding Officer should exercise discretion under FMC Rule 66(a), 46 C.F.R. 502.66(a), in granting or denying this specific Motion to Amend. Under both the

¹ The Second Amended Complaint proposes to revise the Complaint to allege Laufer assigned the claims on April 4, 2024 to the Injured Parties, i.e., Impact Products, LLC and Safety Zone, LLC.

FMC's Rules and those governing federal trial courts (Fed. R. Civ. P. 15(a)), the trier of law has significant discretion to grant or deny a motion to amend. The four factors commonly used by both the Commission and the courts to determine the propriety of a motion for leave to amend are: 1) undue delay, bad faith or dilatory motive on the part of the movant; 2) repeated failure to cure deficiencies by amendments previously allowed; 3) undue prejudice to the opposing party by virtue of allowance of the amendment; and 4) futility of amendment. See, e.g., FMC Docket No. 22-23, *Marine Transport Logistics, Inc. v. CMA CGM (America), LLC* (ALJ) (December 8, 2022) at 3 (Slip. op) (citing *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); see also, *Foman v. Davis*, 371 U.S. 178, 182 (1962).

As we now show, Complainants' proposed filing of yet another amended complaint, reflecting yet another transfer of the claims, would fail under the above test, especially given the substantial delay it would cause and the resultant prejudice to Respondent.

b. The Motion to Amend Should be Denied For Undue Delay

In the context of a motion to amend, it has been explained that delay becomes

"... 'undue' when an unwarranted burden is placed on the court or when the requesting party has had previous opportunities to amend. 'Undue delay is delay that prejudices the nonmoving party or imposes unwarranted burdens on the court.'" . . . *Seafair USA LLC v. Sterling Container Line Ltd.*, 2023 WL 4418617 (Order on Motion to Amend the Complaint, ALJ 2023) (citations omitted).

It appears from Complainants' filing that they have significantly dilly-dallied in seeking the requested relief. Complainants assert that they filed their bankruptcy petition on May 21, 2024 and that TZ SSE Buyer, LLC became the owner of all of the claims at issue in this proceeding on

July 10, 2024.² Motion to Amend at 2. They do not explain, however, why it took them nearly two months after the claims were transferred to TZ SSE Buyer, LLC to seek the Presiding Officer's leave to file another amended complaint. The main thrust of the Motion to Amend is simply to substitute one complainant for two Complainants and fails to explain why the Motion to Amend was not filed much earlier. Indeed, as the Motion to Amend asserts, "the undersigned counsel did not need bankruptcy court approval to continue to prosecute this case..." Motion to Amend at 2.

The delay in this case is not only undue in and of itself but would also be unfair to both the Presiding Officer and Respondent. By Complainants' own admission, their late change of parties and unexplained gap in prosecuting this matter, will (in their view) necessitate a substantial extension of deadlines, including deadlines that it missed without comment. As just a starting point, Respondent will need a reasonable period to file an answer to yet another amended complaint, including responses to new allegations having nothing to do with the transfer of claims. After that, as the Motion to Amend itself avers, the parties will need to negotiate and propose a new discovery schedule. See, Scheduling Order issued June 24, 2024. Depositions, which were supposed to be completed by November 1, 2024, have not even begun to be noticed and so will be delayed by a minimum of two months. Further document discovery is almost certain to be needed as well. Accordingly, it will not be remotely possible for discovery to end by November 2, 2024, as currently scheduled. Nor will it be feasible for the Initial Decision to be issued by the Commission's deadline of February 14, 2025; indeed, it is quite doubtful that briefing can even be finished by that date.

² The Second Amended Complaint proposes to redesignate the original Complainants Impact Products, LLC and Safety Zone, LLC as the "Injured Parties" instead of "Complainants" but do not explain why this re-designation is necessary if these entities no longer exist.

It is Complainant's burden to show why it did not promptly move to amend. Without any suggestions of why it took Complainants nearly two months to move to amend the Complaint, one can only assume that no good cause for such delay exists. But, most importantly, as discussed below, granting the Motion to Amend will unduly prejudice Respondent.

c. The Motion to Amend Should Be Denied Due to Further Prejudice to Respondents

Selling yourself to a third party in bankruptcy invariably entails a substantial loss of information. Employees needed for depositions will leave and likely be unavailable except, perhaps, by subpoena. Use of subpoenas inherently causes its own problems and delays. Assuming an ex-employee can be located, and a subpoena served (at Respondent's request), it remains difficult and expensive to actually procure production of documents and/or testimony. Those subpoenaed must generally be given at least 30 days to respond, and the practical reality is that it almost always takes much longer. If a subpoenaed person declines to cooperate or produces too little, Respondent's only resort is to file for enforcement in federal court. Such enforcement actions are necessarily a significant expense, and because courts do not work in accordance with FMC schedules may take months to rule (sometimes many months). This is not just theoretical, but has been demonstrated in multiple other FMC cases.

B. Any Grant of Leave to Amend Should Include Limits and Include Protective Conditions

Should the Presiding Officer decide over Respondent's objections to grant leave to amend, that grant should be limited with respect to what amendments may be included and should come with conditions designed to reduce the prejudice to Respondents.

Firstly, Complainants have not even attempted to justify the proposed amendments other than the straightforward substitution of parties. They simply toss out a vague categorization of the

many changes and offer no supporting explanation of need or why they were not made in the First Amended Complaint. Accordingly, even if the Presiding Officer grants leave to substitute parties, he should not allow the Complainants to otherwise rewrite their Complaint to the prejudice of Respondent, who will need to spend significant time and legal fees reviewing and responding to the many changes.

Secondly, the Presiding Officer should impose protective conditions on any leave to amend, in order to minimize the prejudice to Respondent. Before any such leave is granted, Complainants should be required to submit, and Respondent comment on, a plan to preserve access to evidence – both documents and testimony. Complainants should not be allowed to resuscitate schedule requirements that have expired and must afford adequate time to obtain evidence from non-parties who are not amenable to discovery requests and party depositions, having assigned their claims or gone insolvent.

CONCLUSION

For the foregoing reasons, the Presiding Officer should deny the Motion to Amend the Complaint.

DATED: October 10, 2024

Respectfully submitted,

/s/ Rebecca A. Fenneman

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ATTORNEYS FOR RESPONDENT

CERTIFICATE OF SERVICE

I certify that on the 10th day of October, 2024, a true and correct copy of the foregoing **RESPONSE TO MOTION TO AMEND COMPLAINT** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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